



Lease Rate Analysis

CONFIDENTIAL — INTERNAL STRATEGY DOCUMENT — MARCH 2026

Elias Range Stays

HEALTHCARE WORKFORCE HOUSING HUB — DAWSON CREEK, BC

LEASE RATE STRATEGY

Northern Health Negotiation Framework

Dawson Creek Hub · March 2026

INTERNAL STRATEGY — NOT FOR DISTRIBUTION TO NH

Recommended Lease Rates to Northern Health: The Number That Works for Both Sides

This document establishes the lease rate range for the 32 furnished residential units, grounded in: what Northern Health currently pays in hotels, what produces strong cash flow and a defensible completed valuation, and what position to enter negotiations from versus where to settle.

THE MARKET BENCHMARK — WHAT NH PAYS TODAY

The Baseline: Hotel Rates in Dawson Creek

Northern Health currently accommodates itinerant staff, locum physicians, and travel nurses in hotel rooms and substandard private rentals. This is the rate Elias Range Stays must price against — not the open rental market.

BUDGET HOTEL RATE

\$180/night

\$5,400/unit/month equivalent

MID HOTEL RATE

\$200/night

\$6,000/unit/month equivalent

UPPER HOTEL RATE

\$220/night

\$6,600/unit/month equivalent

The ERS product is **superior** to hotel in every measurable dimension — fully furnished, professional-grade, purpose-built, single-invoice billing, 24/7 management support, and a managed residential environment rather than a transient hotel. The question is how much of that value we capture vs. how much we pass to NH as savings.

ERS Value Proposition to NH: At \$4,800/month, Northern Health saves **\$1,200/unit/month** versus a \$200/night hotel, while receiving a materially better product and experience for their staff. Across 32 units at 90% occupancy, that's **\$414,720 in annual savings for Northern Health** — while ERS earns strong cash flow.

THE RATE ANALYSIS — FULL SCENARIO TABLE

Elias Range Development — Lease Rate Analysis

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What Each Rate Produces (32 Units + 3 Commercial)

MONTHLY RATE	OCCUPANCY	ANNUAL REVENUE	NOI	COMPLETED VALUE @ 7.25% CAP	SPREAD VS \$15.2M COST	DSCR (PLAN A)
\$3,800/mo	95%	\$1,458,240	\$1,108,262	\$15,286,000	+\$90,000	1.055×
\$4,200/mo	92%	\$1,555,776	\$1,182,390	\$16,309,000	+\$1,113,000	1.126×
\$4,500/mo	90%	\$1,627,200	\$1,236,672	\$17,058,000	+\$1,862,000	1.178×
\$4,800/mo ★ RECOMMENDED	90%	\$1,730,880	\$1,315,469	\$18,144,000	+\$2,948,000	1.253×
\$5,000/mo	87%	\$1,742,400	\$1,324,224	\$18,265,000	+\$3,069,000	1.261×
\$5,500/mo	85%	\$1,867,200	\$1,419,072	\$19,573,000	+\$4,377,000	1.351×

* Commercial units modelled at \$2,000/unit/month blended. Plan A debt service: \$1,050,000/yr. Cap rate: 7.25%.

THE RECOMMENDATION

The Number That Works

RECOMMENDED LEASE RATE TO NORTHERN HEALTH

\$4,800

per unit · per month · fully furnished · all-inclusive management

Negotiation entry point: \$5,200–\$5,500/mo | Walk-away floor: \$4,200/mo

ANNUAL REVENUE

\$1,730,880

32 units · 90% occupancy · + commercial

NET OPERATING INCOME

\$1,315,469

After 24% operating expenses

COMPLETED VALUE @ 7.25%

\$18,144,000

\$2.95M development spread above cost

ANNUAL NET CASH FLOW (PLAN A)

\$265,469

After \$1,050,000 debt service

ANNUAL NET CASH FLOW (PLAN B)

\$875,469

After \$440,000 debt service (grants)

DSCR (PLAN A)

1.253×

Meets standard 1.20× lender requirement ✓

The Logic Behind the Rate

FACTOR	ANALYSIS
vs. hotel alternative	NH pays \$180–\$220/night (\$5,400–\$6,600/month equivalent). At \$4,800/month, ERS is \$600–\$1,800/month cheaper per unit than a hotel — an easy approval for NH procurement.
vs. standard rental market	Dawson Creek market rents are \$1,500–\$2,200/month for unfurnished units. ERS is furnished, managed, and purpose-built — a 2–3× premium is standard in workforce housing nationally.
DSCR for lender	At \$4,800/month, DSCR crosses 1.25× — comfortably above LVCU's likely 1.20× minimum. Rates below \$4,500/month fail this test under Plan A.
Development spread	\$18,144,000 completed value vs. \$15,196,000 cost = \$2.95M gross development profit at a defensible 7.25% cap rate.
NH savings to use as justification	NH saves \$414,720/year at this rate vs. hotels. Frame it as a cost-reduction initiative for the health authority , not just a housing contract.

NEGOTIATION STRATEGY

How to Enter and Where to Land

NEGOTIATION STAGE	RATE	RATIONALE
Opening ask	\$5,200– \$5,500/unit/month	Hotel parity minus 10–15%. Justified by product quality, management, single invoice, staff retention benefit to NH. Leaves room to negotiate down.
Target settlement	\$4,800/unit/month	Strong economics for ERS. Real savings for NH vs. hotels. DSCR meets lender requirements. Defensible completed valuation.
Acceptable minimum	\$4,500/unit/month	Still produces a development spread (+\$1.86M). DSCR at 1.178× — below ideal but workable. Only accept with Plan B (lower debt service from grants).
Walk away	Below \$4,200/month	Under Plan A, DSCR falls to 1.126× — likely unacceptable to LVCU. Development spread shrinks to \$1.1M. Not worth the risk.

WHAT TO INCLUDE IN THE RATE

INCLUDED	DETAIL
Fully furnished unit	Bed, linens, kitchen, appliances, workspace, Wi-Fi — move-in ready
All utilities	Heat, hydro, water included — no separate billing
24/7 management support	On-call for maintenance, access, issues — dedicated line
Single invoice billing	One invoice to Northern Health or health authority — not to individual workers
Flexible term structure	Mix of short-stay (locum) and longer-term (permanent hire) available
YMCA BC on-site services	Community programming and amenities for staff wellbeing
What is NOT included at this rate	Meals, parking (available separately), housekeeping (optional add-on)

Optional Add-On Revenue: Housekeeping services (\$200–\$400/month/unit), covered parking (\$150/month/stall), and meal plan (if partnered with local caterer) can generate an additional \$100,000–\$200,000/year in ancillary revenue — improving NOI and completed value without changing the base rate.

THE PITCH TO NORTHERN HEALTH

Frame It as Their Win

Do not present this as a lease negotiation. Present it as a **healthcare recruitment and retention solution** that Northern Health has been unable to self-supply — and that happens to cost them less than the hotel model they currently rely on.

"At \$4,800/month per unit, Northern Health saves over \$414,000 per year compared to current hotel costs — while providing their staff with a superior, purpose-built, professionally managed environment that increases retention. This is not a housing cost. It is a workforce strategy."

The three-point pitch:

- **Cost:** 20–25% below the hotel rate for a better product
- **Retention:** Staff who are well-housed stay longer — reducing Northern Health's recruitment and onboarding costs
- **Simplicity:** One invoice. No per-employee expense management. No hotel booking logistics.

PREPARED BY

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